Table 8.2. How expense ratios affect your ROI

ROI before expense ratio	Expense ratio	ROI after expense ratio	Money after 30 years investing $300/month
8%	1.0%	**7%** (8%-1.0%)	**$340,058**
8%	0.2%	**7.8%** (8%-0.2%)	**$393,155**

While 7% and 7.8% appear to be almost the same, when this number is compounded over 30 years it adds up to more than $50,000. So if you are going to put your money into an index or mutual fund, make sure you ask about the expense ratio, because the higher the expense ratio, the more it cuts into your ROI.

Some people will spend hours debating whether you should put money into an actively managed mutual fund or an index fund, but the main point is simple: invest. The best way to not become rich is to sit on the sidelines and not put any money in the market. So whether it is an actively managed mutual fund or a passive index fund, just be sure to choose one of them and consistently put money into it over a long period of time.

Investing Is a Long-Term Strategy

One of the biggest mistakes people make with the stock market is something referred to as "panic selling." **Panic selling** is when someone sees the market begin to fall and decides to sell all of their investments. When they do this, they usually miss out on the gains the market will make after it has recovered. For example, let's say you finally make the decision to invest money in the market and put $1,000 into an index fund. Two months later you see that the stock market is going down, freak out, and decide to sell